IV Exercises

1. Complete the accounting equation

(a)	Assets	=	Capital	+	Liabilities
	₹ 1,00,000	=	₹ 80,000	+	?
(b)	Assets	=	Capital	+	Liabilities
	₹ 2,00,000	=	?	+	₹ 40,000
(c)	Assets	=	Capital	+	Creditors
	?	=	₹ 1, 60,000	+	₹ 80,000

2. For the following transactions, show the effect on accounting equation.
   (a) Raj Started business with cash ₹ 40,000
   (b) Opened bank account with a deposit of ₹ 30,000
   (c) Bought goods from Hari on credit for ₹ 12,000
   (d) Raj withdrew cash for personal use ₹ 1,000
   (e) Bought furniture by using debit card for ₹ 10,000
   (f) Sold goods to Murugan and cash received ₹ 6,000
   (g) Money withdrawn from bank for office use ₹ 1,000

3. Prepare accounting equation for the following transactions.
   (a) Murugan commenced business with cash ₹ 80,000
   (b) Purchased goods for cash ₹ 30,000
   (c) Paid salaries by cash ₹ 5,000
   (d) Bought goods from Kumar for ₹ 5,000 and deposited the money in CDM.
   (e) Introduced additional capital of ₹ 10,000

4. What will be the effect of the following on the accounting equation?
   (a) Sunil started business with ₹ 1,40,000 cash and goods worth ₹ 60,000
   (b) Purchased furniture worth ₹ 20,000 by cash
   (c) Depreciation on furniture ₹ 800
   (d) Deposited into bank ₹ 40,000
   (e) Paid electricity charges through net banking ₹ 500
   (f) Sold goods to Ravi costing ₹ 10,000 for ₹ 15,000
   (g) Goods returned by Ravi ₹ 7,500 (costing ₹ 5,000)

5. Create an accounting equation on the basis of the following transactions:
   (i) Rakesh started business with a capital of ₹ 1,50,000
   (ii) Deposited money with the bank ₹ 80,000
   (iii) Purchased goods from Mahesh and paid through debit card ₹ 25,000
   (iv) Sold goods (costing ₹ 10,000) to Mohan for ₹ 14,000 who pays through debit card
   (v) Commission received by cheque and deposited the same in the bank ₹ 2,000
   (vi) Paid office rent through ECS ₹ 6,000
   (vii) Sold goods to Raman for ₹ 15,000 of which ₹ 5,000 was received at once

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